

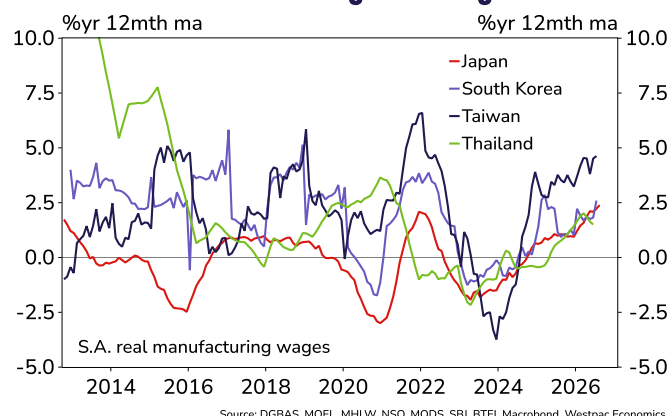
Mapping out Asia ...



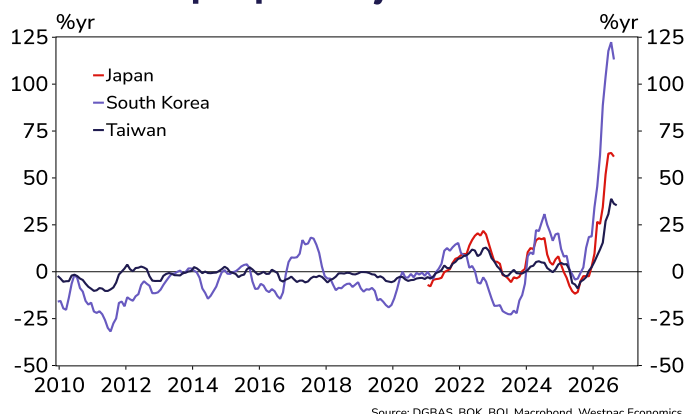
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- For two decades, lower labour costs across Asia helped suppress global goods inflation.
- Much of that disinflationary pulse originated in North Asia, where production was increasingly offshored to lower-cost labour markets.
- Today, ageing populations and rising incomes are lifting labour costs across much of the region.
- While production continues to migrate towards South and Southeast Asia, the next phase of manufacturing is increasingly driven by capital, technology and power rather than low-cost labour.
- As a result, labour costs are unlikely to provide the same disinflationary impulse that supported goods prices over the previous decade.

Asia's labour-cost advantage is fading



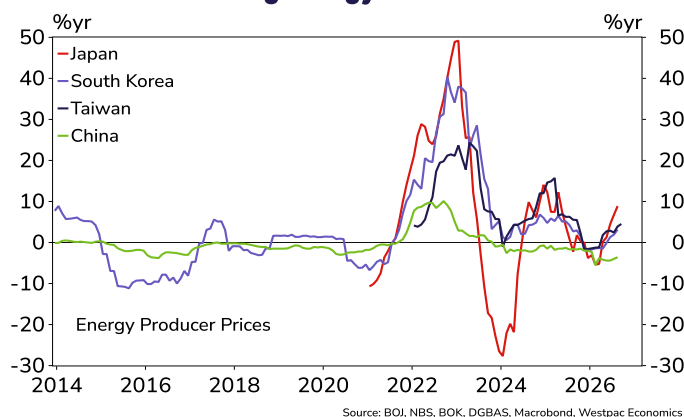
Electronics export prices skyrocket



- Technology has historically provided a source of disinflation as production costs fell and competition intensified.
- Asia sits at the centre of the AI supply chain through firms such as TSMC, Samsung and SK Hynix, which produce critical semiconductors and memory chips used in AI infrastructure.
- Rising costs for electricity and critical minerals are increasing production costs across the sector.
- Strong demand has allowed firms to pass these costs on while maintaining healthy profitability. SK Hynix's net profit rose from ₩19.8tn to ₩42.9tn (+117%yr).
- Firms are also competing on performance and technological capability rather than price, allowing technology-related inflation to emerge for the first time in years.

- Many Asian economies remain reliant on imported energy, leaving producers exposed to higher oil and LNG costs.
- Semiconductor manufacturing and the broader AI infrastructure build-out are highly energy intensive. Expansions by TSMC, Samsung and SK Hynix are increasing electricity demand across North Asia while data-centre investment adds a further source of demand.
- As technology firms compete with traditional manufacturers for power, energy costs are becoming an increasingly important part of the production process.
- Rising production costs are therefore being driven by both higher energy prices and stronger underlying demand for electricity.

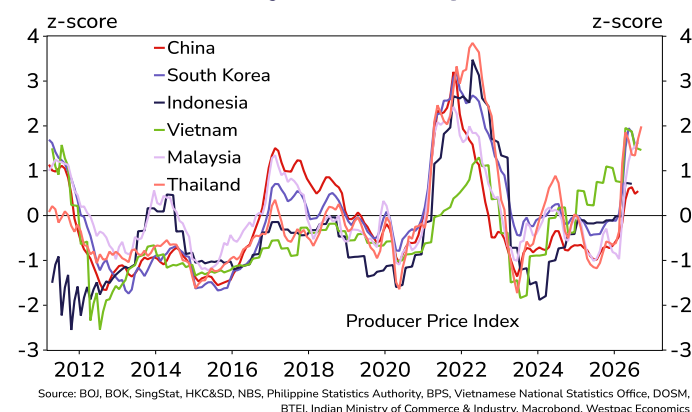
The AI boom is lifting energy demand



... in charts

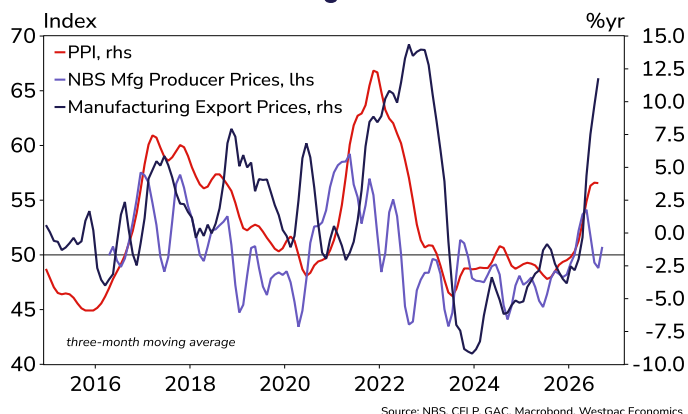
- Chinese producer-price deflation remains evident across parts of traditional manufacturing, particularly sectors facing persistent overcapacity such as automobiles
- Historically, Chinese producer prices acted as the pricing anchor for much of Asia's manufacturing sector.
- What has changed is that parts of the region are increasingly specialising in industries where China is not the dominant supplier.
- Strong demand for semiconductors, memory and AI-related goods is allowing firms in Taiwan and South Korea to set prices according to their own market conditions despite ongoing weakness in Chinese producer prices.
- China's deflationary pulse remains important, but it no longer guarantees lower prices across the rest of Asia.

The cheapest supply chain no longer wins



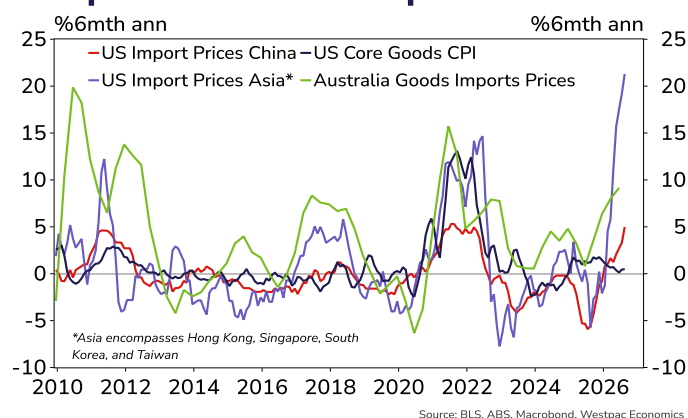
- For much of the past decade, falling goods prices helped offset elevated services inflation across developed markets. The forces that drove that disinflation are now becoming less powerful.
- While Chinese deflation and production relocation to lower-cost economies will continue to provide some support, they are unlikely to fully offset these pressures.
- As a result, imported goods may provide less assistance in bringing inflation back to target than they have in the past.
- This leaves central banks increasingly reliant on containing domestic inflation pressures, particularly in services.
- As a result, achieving inflation targets may require a longer period of restrictive monetary policy than has historically been the case.

China's deflation is losing influence



- Rising costs were previously offset by production shifting to lower-cost economies elsewhere in Asia.
- Production continues to migrate towards Vietnam, India, Indonesia, Malaysia and Thailand, helping contain costs.
- However, these economies are unlikely to replicate the scale of China's integration into global manufacturing during the 2000s.
- High-value production remains concentrated in North Asia while firms increasingly value resilience, security and specialisation alongside cost minimisation.
- Future supply-chain shifts may therefore help limit cost pressures, but are unlikely to generate the same disinflationary pulse seen over the last two decades.

Asian prices add risk to developed markets





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